problem.

**What did you think?**

I thought that was clearly wrong. The big mistake people were making, and still make, was to confuse liquidity with solvency. People were acting on the premise that Bear Stearns and the banking system were solvent. They thought there was a liquidity crisis, which was just a matter of lack of confidence. The reality was that the banking system didn't have a liquidity problem; it had a liquidity problem because it had a solvency problem. You can't fix a solvency problem by adding more liquidity. If you have a house worth $100,000 with a $200,000 mortgage, I can lend you another $100,000, but it won't solve the underlying problem. You'll just end up with more debt. As long as housing prices kept going down, the solvency problem was getting worse and worse. The market, however, was behaving as if there was no problem.

**Where does that leave you in terms of a trading stance when the market is acting as if everything is okay, but you think it's not?**

Well, that happens all the time. In regards to the second quarter of 2008, we found better risk/reward trades to express our view. We had been very negative on credit at the start of the year. But by the second quarter, corporate and bank credit spreads had already widened sharply. Although the TED spread had also widened sharply, in the forward market, it was priced to narrow dramatically over the next few months.

*The TED spread is the difference between the three-month LIBOR rate, the rate at which banks lend to other banks, and the three-month T-bill rate. The LIBOR rate is always higher than the T-bill rate because there is a small counterparty risk in interbank loans, while T-bills are considered to be risk-free. During most times, the TED spread tends to be relatively modest (roughly around 25 basis points). The TED spread, however, can widen significantly during periods of "flight-to-quality" when counterparty and liquidity concerns are heightened. It widened to more than 200 basis points in the money market liquidity freeze-up in August 2007 that O'Shea talked about earlier and to a record 485 basis points in the post-Lehman failure financial market meltdown in late 2008. The types of conditions that are conducive to a widening of the*